

On the road

Evicted from their farm in Missouri, this family traveled to California in search of work on the farms there.



In an effort to avoid the economic problems that arose after World War I, delegates from 44 Allied nations met in 1944 to plan for the end of World War II.

INTERNATIONAL MONETARY FUND

New **rules for financial and commercial transactions** between states in the developed world were drawn up and the **International Monetary Fund (IMF)** was established to implement international monetary rules.

WORLD BANK

The World Bank was established to provide **financing and advice** for the economies of developing countries. World Bank activities focus on the development of health, education, rural development, and legal institutions.

became dictatorships (countries ruled by one person with no recognized opposition). Some states set about building empires to secure supplies of raw materials. In October 1935, Italy's fascist leader, Benito Mussolini (see pp.386–87), ordered the invasion of Abyssinia in East Africa. Hitler (see pp.390–91) began a program of active expansion, annexing Austria in March 1938. In response, Britain and France began to rearm, and World War II (see pp.392–405) erupted in 1939. The renewed war in Europe created new jobs in armament factories, revitalizing the world economy and ending the economic depression.

“I pledge you, I pledge myself, to a **new deal** for the **American people.**”

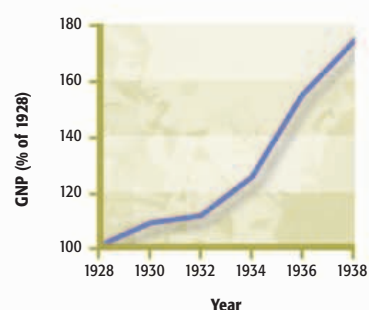
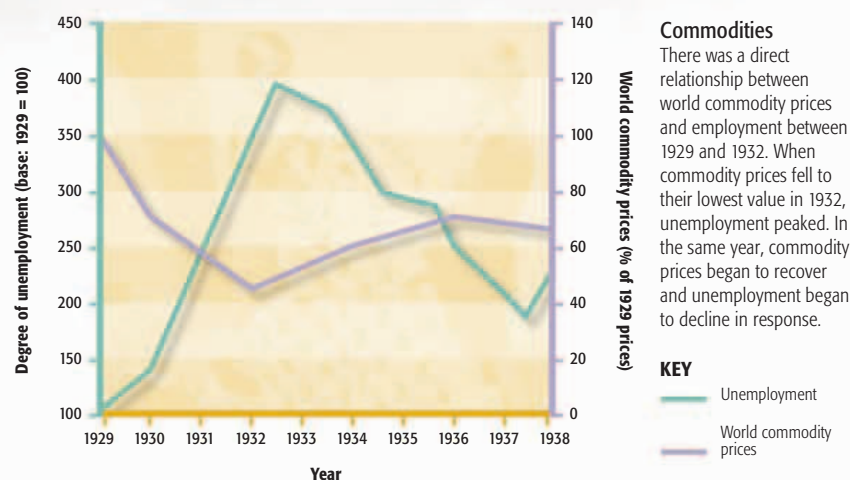
FRANKLIN D. ROOSEVELT, DEMOCRATIC PRESIDENTIAL NOMINATION ACCEPTANCE SPEECH, 1932

falling to 45 percent of 1929 values in 1932. Nations sought to protect their own industries. President Hoover introduced the Smoot-Hawley Tariff in 1930, imposing a 42–50 percent tax on imports, and European governments responded with similar protectionist measures. This made matters worse, as it crippled international trade.

Hoover was criticized heavily for the way he handled the Depression and he was voted out of office in 1932 when Franklin D. Roosevelt won a landslide victory on the promise of a “New Deal,” a series of relief programs devised to restart the economy and provide new jobs (see right). Roosevelt extended US government responsibilities into new economic areas and created social welfare assistance on a national level. Ultimately this large-scale government intervention worked and was adopted by other liberal democracies.

Rise of the far-right

Mass unemployment and poverty caused great anger, leading to civil unrest in some countries. Many people turned to right-wing leaders who promised to restore national prosperity by force if necessary (see pp.386–87). Between 1929 and 1939, 25 countries

**IDEA****NEW DEAL**

Roosevelt's New Deal was a series of programs that aimed to tackle economic depression and rescue millions of Americans living in need. The program vastly increased the scope of the federal government's activities. Business practices were reformed and welfare policies were introduced. Huge public projects were set up, creating millions of new jobs. One successful project was run by the Tennessee Valley Authority. It built more than 20 dams and hydroelectric stations, turning the Colorado river basin into a vast wealth-producing area.

